COURSE

## AQA GCSE Business (8132)

# Cash flow

**3.6 Finance · 3.6.2 Cash flow**

Revision for 3.6 Finance: each firm works it out on its own deals.

Class **AQA GCSE Business (8132)** Topic **Cash flow**

THE LESSON

**Setup** 2 min

**Round 1** Decisions 3 min · Deals 5 min · Topic tasks 4 min

| | | | |
|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 1 **Profit on this deal** | TASK 2 **Improve cash flow** |

**Round 2** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 3 **Forecast in order** | TASK 4 **Month-end balance** | **B2B deal** |

**Round 3** Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

| | | | | |
|---|---|---|---|---|
| **Firm decisions** | **Deals** | TASK 5 **Cash now or later** | TASK 6 **Month-end balance** | **B2B deal** |

**Final questions** 3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

# Each step

| | |
|---|---|
| **Firm decisions** | Each role makes its decision on its own page. |
| **Deals** | Each pupil trades with a classmate in another firm. |
| **Topic task** | The firm answers together. Everyone presses Agree. |
| **B2B deal** | One firm sells a lot of cars to another firm. |
| **Final questions** | Each pupil answers six questions. |

# Firm decisions

| | | |
|---|---|---|
| **CEO** | **Staff** | Hire staff. Each costs a salary and gives one benefit. |
| | **Sabotage** FROM ROUND 2 | Hit a rival firm's cash, at a cost. A Legal Counsel blocks it. |
| **Sales & Marketing** | **Marketing** | Book one advert campaign to lift the next sales. |
| **Finance** | **Capital & Loans** | Borrow cash. The firm pays it back with interest. |
| | **Investments** | Buy property or funds. The value can rise or fall. |
| **Operations** | **Buying** | Hire the Procurement Specialist or the Stock Controller for the round. |

**B2B deal · Rounds 2 and 3**

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

# Topic tasks

Each firm gets its own figures. The method is the same for every firm.

## Task 1

ROUND 1

They pay you in 30 days.

**Profit on this deal?**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Cars in the deal | **2 cars** |
| You buy them today, in total | **£28,000** |
| Prep and delivery, per car | **£300** |
| Customer pays in total | **£34,000** |

METHOD

**Profit = customer pays − you buy them − cars × prep per car**

£34,000 − £28,000 − 2 × £300 = £5,400

**Why:** £5,400 profit, but £28,600 is out of your cash for 30 days.

## Task 2

ROUND 1

Your bank balance is low. Customers take 60 days to pay you.

**Which two would improve your cash flow?**

PICK TWO

- ✔ **Ask customers to pay sooner**
- ✔ **Ask suppliers for longer to pay**
- ○ Buy more cars now to sell later
- ○ Give customers 90 days to pay
- ○ Pay suppliers early for goodwill

**Why:** Cash comes in sooner or goes out later; the other three take cash out sooner.

## Task 3

ROUND 2

You fill in next month's cash-flow forecast.

**In what order do you work it out?**

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Net cash flow: cash in minus cash out**
2. **Add it to the opening balance**
3. **That gives the closing balance**
4. **It becomes next month's opening balance**

**Why:** Net cash flow first; add the opening balance; the closing balance carries over.

## Task 4

ROUND 2

A two-month deal.

**Balance at the end of month 1?**

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

| | |
|---|---|
| Set aside for this deal | **£25,000** |
| Month 1: you buy the cars | **£49,500** |
| Month 1: customer deposit | **£11,500** |
| Month 2: rest of the price | **£45,500** |

METHOD

**Balance = set aside − you buy the cars + deposit**

£25,000 − £49,500 + £11,500 = −£13,000

**Why:** Month 1 is short by £13,000. Month 2 brings £45,500.

## Task 5

ROUND 3

Your bank balance is low. A taxi firm pays £30,000 today; a hire firm pays £31,000 in 90 days.

**Which deal should you take, and why?**

PICK A OR B AND GIVE A REASON

- ○ The hire firm: £31,000 in 90 days
- ✔ **The taxi firm: £30,000 today**

**Why:** With cash short, money today matters more than £1,000 more in 90 days.

## Task 6

ROUND 3

They pay half in month 2.

**Balance at the end of month 2? Minus allowed.**

WORK OUT THE NUMBER · EXAMPLE FIGURES

| | |
|---|---|
| Set aside for this deal | **£15,000** |
| Month 1: you buy the cars | **£42,000** |
| Running costs, each month | **£400** |
| Customer's price | **£53,000** |

METHOD

**Balance = set aside − you buy the cars − 2 × running costs + half the price**

£15,000 − £42,000 − 2 × £400 + £26,500 = −£1,300

**Why:** Month 2 is still short: the other half comes in month 3.

# Final questions

**6**
questions for each pupil

**150**
Level 2 Business questions

**12**
of them on cash flow

**The game draws 6 questions on this topic.**

1 A dealership starts a week with £15,000 cash. Cash inflows are £42,000 and cash outflows are £38,000. What is the closing cash balance?
**£19,000.**

2 A motor business forecasts cash inflows of £31,000 and cash outflows of £37,000 in April. What is net cash flow for April?
**−£6,000.**

3 A dealership opens April with £22,000 cash and forecasts net cash flow of −£6,000. What is its forecast closing balance?
**£16,000.**

4 A dealer records a sale on credit but will not receive cash for 30 days. Why can it be profitable yet short of cash?
**Profit counts sales; cash depends on when money arrives.**

5 A firm begins a week with £8,000 cash, receives £25,000 and pays £39,000. What is its closing cash balance?
**−£6,000.**

6 Customers pay 60 days after delivery, so a profitable fleet dealer is short of cash. Which change helps its cash flow most directly?
**Agree shorter payment terms.**

7 Why should the Finance lead update a cash-flow forecast when customer payment dates change?
**Receipt timing changes when a surplus or shortage may occur.**

# Final questions

**8** Why should the Finance lead not use profit alone to decide whether a bill can be paid today?

**Profit does not show when cash arrives.**

**9** Which sign should most concern the Finance lead about short-term solvency?

**It often cannot pay bills when due.**

**10** Profit is sales minus costs. Cash is the money in the bank now. A profitable dealer cannot pay a bill due Friday. What helps soonest?

**Chase customers who owe it money.**

**11** Net cash flow = cash in − cash out. In: £64,000 sales, £19,000 servicing. Out: £71,000 stock, £26,000 wages. Step one: cash in = £83,000. What is net cash flow?

**£14,000 negative.**

**12** A dealer's yearly revenue exceeds total costs, but this month it cannot pay its parts supplier on time. Which problem is this?

**A cash-flow problem: money goes out before it comes in.**